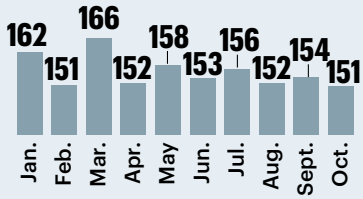
INDUSTRIAL OUTPUT

LOSING STEAM

Industrial production lost pace in 2025, with growth tapering off despite stable index levels



All India Index of Industrial Production (IIP) in 2025



Source: MoSPI

PRIVATE INVESTMENT

COOLING CAPEX

After rising in 2022, private investment as a share of GDP registered a decline

Gross fixed capital formation, private sector (% of GDP)



Source: World Bank

or weather-related supply shocks could quickly reignite price pressures. Already, wholesale food prices ticked upwards in November, and the futures for edible oils and pulses showed signs of firmness too.

Second, the rate cut's effectiveness depends on 'transmission', whether banks actually pass on cheaper rates to borrowers and the latter respond by investing/consuming more. The weighted average lending rate of commercial banks has fallen only 55 basis points since the easing cycle began, even as the repo rate has dropped by 125 bps.

While governor Malhotra admits there is room to improve the transmission lag in rate cuts, he claims they are robust. "Against the 100 basis points (repo rate cut), data that we have till October show that, on average, the transmission from the interest rate side is 78 basis points, which is very good," he told INDIA TODAY. For MSMEs, it was even higher, he says.

Third is fiscal sustainability. The combined impact of GST rationalisation and I-T relief could trim government revenues by some Rs 2 lakh crore in FY26. While strong nominal GDP growth will partly offset this, fiscal headroom remains tight. The fiscal deficit is expected to be around 5.6 per cent of GDP this year, slightly above target. If tax buoyancy doesn't improve, public investment could suffer, straining the supply-side response needed for demand-led growth.



"I think we should be cautiously optimistic. Hopefully, consumption growth will be sustained, and it'll feed into private sector investment"

NAUSHAD FORBES
Co-chairman, Forbes Marshall

Fourth, uncertainty in India's external environment. Exports contracted 2.1 per cent in October, dragged down by weak global demand for engineering goods and textiles. The rupee has depreciated 3 per cent against the dollar since July (breaching the psychological 90-per-dollar level many times in December), and foreign portfolio flows remain volatile. If global commodity prices rebound or geopolitical tensions flare, India's import bill could rise, reintroducing inflationary pressures. The RBI's own comfort on the external front stems from healthy foreign exchange reserves (still above $650 billion) but that buffer could erode quickly if oil prices or capital flows turn adverse.

Still, most economists see the current macro mix as benign. Fitch Ratings has raised its India FY26 growth forecast to 7.4 per cent, citing stronger consumer spending and fiscal monetary alignment. S&P Global has made a similar upward revision. Domestic brokerages such as Motilal Oswal and ICICI Securities expect consumption growth to speed to 6.5-7 per cent next year, while private-sector investment could grow by 8-9 per cent if borrowing costs ease further. "India's strength is its growing depth and diversity, internally and now in trade also. The excessive US-centricity and hype about tariffs miss this," says economist Ashima Goyal. "But sustaining the 'Goldilocks' phase will require deft management."

Policymakers must avoid the twin traps of complacency and excess. Too much stimulus could reignite inflation; too little could snuff out the nascent recovery. The RBI has signalled it will stay data-dependent, balancing growth and inflation rather than locking into a pre-set easing path. "We are in a favourable window," the RBI governor said after the policy meeting, "but windows can close."

The path forward, then, is clear but narrow. India's economy, bolstered by low inflation and an accommodative monetary policy, is poised for a burst of momentum. The question is whether policymakers can convert this cyclical sweet spot into a structural upswing—through deeper reforms, sustained investment and fiscal discipline. ■